



“CHASING OUTPERFORMANCE ALWAYS CAN BE DANGEROUS”

DP Singh, Deputy MD & Joint CEO, SBI Mutual Fund,
on why mid-caps provide quality opportunities

BY RIDDHIMA BHATNAGAR

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SBI MUTUAL FUND, the asset management arm of State Bank of India, manages a portfolio of more than ₹11 lakh crore. DP Singh, Deputy MD & Joint CEO, says foreign institutional investors (FIIs)—which have sold shares worth ₹1.50 lakh crore approximately this financial year alone—will return once global uncertainties surrounding the new US administration subside. He also talks about why people have confidence in the Indian markets. Edited excerpts:

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Q: When markets are volatile, what are the dynamics of the mutual fund industry? What is your view on FII selling?

Markets are volatile by nature, so we are always prepared for that as a fund house. This downturn, which happened in the last three-four months, has indicated that our fall has been generally much less than the market fall.

I also feel that fund outperformance is important in the market,

but chasing outperformance always can be dangerous, as this increases the risk.

We must take care of the expectations of the people who are coming into the market, as not everybody is coming to take the highest risk. With FII selling, I am of the view that the moment the global uncertainties due to the new regime in the US are over, the FII money will start coming back. Also, the currency risk in India will be lesser now as the rupee has already depreciated.

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Did you feel that they are more nervous since the folios have fallen, and SIP numbers have reduced?

It is only natural to feel affected by falling valuations in the markets. But I will compliment the investors in general. They haven't panicked and have shown a disciplined and strong approach. People have confidence in the Indian markets.

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Do you feel that investors should exit mid- and small-caps?

Some fund managers have cautioned against mid- and small-cap investments in the current market. However, recent correction has allowed portfolio rebalancing, with exit from certain stocks and strategic entry into others.

While some illiquid stocks persist, quality remains key across market segments. Despite daily fluctuations, mid-caps continue to outperform, indicating that select opportunities still exist for investors focusing on a quality portfolio.

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What's your advice to new investors who want to start SIPs?

For new investors in mutual funds, multi-cap funds offer an optimal entry point, balancing risk and opportunity in equity. Multi-cap funds remain the best choice, offering flexibility across large, mid, and